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Secure Distribution Venture Pvt. Ltd.

What Is Mezzanine Financing ?

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A Comprehensive Institutional White Paper & Masterclass Handbook on Hybrid Capital, Subordinated Debt, Convertible Instruments, Private Credit Structures, Security Mechanics, Case Studies, and Credit Risk Assessment in India

Loanbazaaronline Corporate Finance Knowledge Series | 2026 Edition

Target Audience: Wholesale Bankers, Credit Analysts, Private Equity Associates, Corporate CFOs & Finance Rookies

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Executive Roadmap & Table of Contents

This white paper serves as an exhaustive, end-to-end masterclass on **Mezzanine Financing** in the Indian Financial Services and Private Credit market. Designed specifically for finance professionals, credit underwriters, investment analysts, and corporate borrowers, this document bridges the gap between theoretical capital structure concepts and real-world execution under Indian legal, tax, and regulatory frameworks.

Reading this comprehensive document in its entirety equips any finance rookie with the complete technical depth required to analyze, structure, underwrite, document, and evaluate mezzanine transactions across corporate expansion, real estate development, infrastructure, M&A acquisitions, and special situations.

Chapter	Chapter Title & Core Subjects Covered
Chapter 1	Product Overview & Core Fundamentals: Definition, Position in Capital Stack, Historical Context, Economic Rationale
Chapter 2	Product Architecture & Structural Mechanics: NCDs, CCDs, CCPS, OCDs, Warrants, Cash Coupons, PIK Interest, Subordination
Chapter 3	Eligibility Criteria & Underwriting Parameters: Revenue, EBITDA, Debt-Equity Caps, Credit Ratings, Cash Flow Predictability
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Chapter 8	Comprehensive Practical Case Study (INR): INR 150 Cr Growth Capital & Warehouse Acquisition Deal for Aura TechLogistics
Chapter 9	Regulatory & Tax Framework in India: RBI Banking & Private Credit Directions, SEBI AIF Norms, FPI VRR Rules, TDS & Tax Shield
Chapter 10	Rookie Mastery Examination: 15 High-Yield Test Questions with Comprehensive Analytical Answer Keys

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CHAPTER 1: Product Overview & Core Fundamentals

1.1 Technical Definition of Mezzanine Financing

Mezzanine Financing is a hybrid, customized capital structure positioned strategically between senior secured debt and pure equity in a corporate borrower's capital stack. In the architectural hierarchy of corporate finance, the term 'mezzanine' originates from the Italian word 'mezzano' (meaning 'middle'), signifying an intermediate tier of funding. Mezzanine capital combines the contractual legal protections and yield features of debt (such as fixed or floating interest rates, mandatory maturity dates, and security charges) with the economic return upside of equity (through conversion rights, profit participation, or equity warrants).

1.2 The Capital Stack Continuum

To master mezzanine financing, a finance professional must evaluate where each asset class sits on the spectrum of risk, return, and liquidation priority under Indian law:

• Senior Secured Debt (Top Priority): Provided primarily by commercial banks and financial institutions. Secured by first pari-passu charge on core assets. Low risk, lowest cost of capital (8.50% - 11.00% p.a. in INR), but subject to strict financial covenants, rigid borrowing base caps, and statutory exposure limits.
• Subordinated / Mezzanine Capital (Middle Tier): Positioned behind senior lenders in liquidation and cash flow priority. Subordinated in security (second charge or HoldCo charge). Generates target gross returns of 14.00% to 22.00% IRR, structured via a blend of cash interest, Payment-In-Kind (PIK) accruals, and equity kickers.
• Pure Equity (Bottom Tier): Common equity provided by promoters, venture capitalists, or private equity sponsors. Receives residual cash flows and asset proceeds only after all debt obligations are discharged. High risk, highest cost of capital (22.00%+ expected return), but carries full voting and operational control.

1.3 Historical Evolution in the Indian Wholesale & Private Credit Market

Historically, Indian corporate finance was heavily bifurcated between conservative senior bank loans (governed strictly by RBI exposure norms and collateral requirements) and pure equity dilution. Corporate borrowers facing growth capital shortages or acquiring businesses were forced to dilute expensive equity or rely on informal promoter loans.

Over the last decade, with the enactment of the Insolvency and Bankruptcy Code (IBC) in 2016, the tightening of RBI guidelines on bank lending to holding companies, and the rise of SEBI-registered Category II Alternative Investment Funds (AIFs) and Foreign Portfolio Investors (FPIs), private credit funds emerged to fill this multi-billion dollar gap. Mezzanine debt has evolved into a premier financing tool for growth-stage Indian corporates, real estate land acquisition/approval funding, infrastructure project completion, and sponsor buyout transactions.

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Dimension	Senior Secured Debt	Mezzanine Financing	Preferred Equity	Common Equity
Liquidation Priority	1st Priority (Highest)	2nd Priority (Subordinated)	3rd Priority	Residual (Lowest)
Cost of Capital (INR)	8.5% - 11.0% p.a.	14.0% - 22.0% IRR	16.0% - 20.0% IRR	22.0%+ Expected
Security / Charge	1st Pari-Passu Charge	2nd Charge / HoldCo Pledge	Unsecured / Preferred	No Security / Equity

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CHAPTER 2: Product Architecture & Structural Mechanics

2.1 Primary Financial Instruments for Mezzanine Structures in India

In the Indian corporate legal framework, mezzanine capital cannot always be structured as a simple unsecured bank loan due to regulatory restrictions on interest rates, commercial bank capital market exposure limits, and RBI rules. Consequently, mezzanine financiers primarily utilize four regulated legal instruments under the Companies Act 2013 and SEBI Regulations:

1. Subordinated Non-Convertible Debentures (NCDs):

- **Rupee-denominated debt securities issued under Section 71 of the Companies Act 2013.**
- **Treated as secured or unsecured financial debt under Section 5(8) of the Insolvency and Bankruptcy Code (IBC) 2016, granting lenders full voting rights in the Committee of Creditors (CoC).**
- **Issued to Alternative Investment Funds (AIFs), Foreign Portfolio Investors (FPIs), or domestic High Net Worth Individuals (HNIs) on a private placement basis.**

2. Compulsorily Convertible Debentures (CCDs) / Compulsorily Convertible Preference Shares (CCPS):

- **Hybrid instruments that automatically convert into equity shares at a pre-agreed valuation formula or upon specified milestones/tenure.**
- **Classified as equity-like instruments under Foreign Direct Investment (FDI) guidelines, making them ideal for cross-border investments into Indian entities.**

3. Optionally Convertible Debentures (OCDs) / Optionally Convertible Preference Shares (OCPS):

- **Grants the lender the sole option to either redeem the principal with a redemption premium or convert into equity shares.**
- **Note: If funded by offshore non-resident entities, optionally convertible instruments are treated as External Commercial Borrowings (ECBs) and must comply with RBI ECB Framework guidelines.**

4. Debentures with Equity Warrants / Profit-Sharing Detachable Warrants:

- **The borrower issues standard NCDs with a moderate cash coupon (e.g., 11% - 12% p.a.) coupled with detachable equity warrants.**
- **Warrants allow the mezzanine lender to purchase a pre-determined percentage of company shares (e.g., 3% - 8%) at a nominal strike price upon an IPO, M&A exit, or maturity.**

2.2 Cash Flow Mechanics & Return Components

Unlike standard commercial loans that rely solely on a fixed monthly cash coupon, a mezzanine facility's target return (Gross Internal Rate of Return - IRR) is engineered using four distinct building blocks:

- **Current Cash Coupon: Paid monthly or quarterly (e.g., 10.00% to 12.00% p.a.). Set at a level that the borrower's operating cash flows can comfortably service without straining operational liquidity.**

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• Payment-In-Kind (PIK) Interest: Interest that is not paid in cash currently but accrues and compounds into the principal balance monthly or annually (e.g., 3.00% to 5.00% p.a.). PIK interest preserves cash flow during early growth phases and is repaid as a bullet payment at maturity.
• Redemption Premium / YTM Target: A structured lump-sum fee paid upon final maturity or early redemption to ensure the lender achieves its contractual target IRR (e.g., 16.00% to 18.00% IRR).
• Equity Kicker / Upside Participation: Warrant realization or share value appreciation that pushes the total realized return from 18.00% to 22.00%+ IRR if the borrower achieves outperformance.

2.3 Subordination Mechanics: Structural vs. Contractual

Mezzanine lenders manage subordination through two distinct structural frameworks:
• Contractual Subordination: The mezzanine lender, senior bank, and borrower execute a tripartite Intercreditor Agreement (ICA) and Deed of Subordination. The agreement establishes that senior debt gets 100% debt servicing priority, restricts mezzanine debt principal acceleration upon minor defaults, and defines stand-still periods (typically 90 to 180 days).
• Structural Subordination: The mezzanine lender lends directly to a Holding Company (HoldCo), while senior banks lend to the Operating Company (OpCo). OpCo cash flows must first service senior debt and operating expenses; only net dividend distributions or cash up-streamed from OpCo can service the HoldCo mezzanine debt.

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CHAPTER 3: Eligibility Criteria & Underwriting Parameters

3.1 Core Eligibility Benchmarks for Indian Corporate Borrowers

Because mezzanine capital is non-senior leverage, underwriters evaluate credit risk through rigorous quantitative and qualitative filters. Below are the standard indicative benchmarks applied by top private credit funds and NBFCs in India:

1. Financial & Operational Scale:
- Minimum Operating Revenue: INR 50.00 Crores to INR 500.00 Crores (Mid-market corporate segment).
- Minimum EBITDA Margin: 12% to 20% sustainable operating margin, demonstrating strong cash generation capacity.
- Historical Track Record: Minimum 3 to 5 years of audited financial performance under Indian Accounting Standards (Ind AS) or Indian GAAP.

2. Leverage & Coverage Ratios:
- Total Debt / EBITDA: Maximum 3.5x to 4.5x (including senior debt and proposed mezzanine facility).
- Senior Debt / EBITDA: Maximum 2.0x to 2.5x, ensuring senior debt remains comfortably covered.
- Fixed Charge Coverage Ratio (FCCR): Minimum 1.35x (EBITDA divided by Total Cash Interest + Senior Principal Amortization).
- Asset Cover Ratio: Minimum 1.50x to 2.00x gross asset cover across total enterprise value or underlying real estate collateral.

3. Promoter & Management Profile:
- High integrity, unblemished credit history, and zero classification as a 'Wilful Defaulter' or 'Fraudulent Borrower' under RBI ICDR/Master Directions.
- Significant promoter 'skin-in-the-game' (minimum 30% to 50% equity stake maintained in the company).
- Clear business succession plan and professional management team across finance, operations, and sales.

4. Business Risk & Cash Flow Predictability:
- Strong competitive moat, diversified customer base (top customer accounting for <25% of total revenues), and low technology obsolescence risk.
- Clear, validated end-use of funds (e.g., funding capex, bolt-on acquisition, promoter buyout, or refinancing expensive short-term ICDs) — pure speculative capital market trading is strictly prohibited under Indian law.

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CHAPTER 4: Security Package, Collateral & Legal Documentation

4.1 Collateral Architecture & Security Package

Although mezzanine debt is subordinated to senior lenders, institutional mezzanine investors in India insist on a robust, multi-layered security package to maximize recovery in distress:

• Second Pari-Passu / Subordinated Mortgage: Created over the borrower's immovable fixed assets (industrial land, corporate headquarters, manufacturing facilities) via a registered mortgage or equitable mortgage deposit of title deeds under the Transfer of Property Act, 1882.
• Second Charge on Current Assets: Created via a Deed of Hypothecation over inventory, raw materials, receivables, and cash flows.
• Exclusive Pledge of Promoter Shares: Unconditional pledge of 51% to 100% of promoter shareholding in the borrowing entity or operating subsidiaries, held in demat form with a SEBI-registered Depository Participant (NSDL/CDSL).
• Personal & Corporate Guarantees: Irrevocable, unconditional personal guarantee executed by the principal promoters and corporate guarantees from operating subsidiaries.
• Escrow & Cash Waterfall Account: All project/company revenues are routed through an escrow account managed by a designated Escrow Bank under a tripartite Escrow Agreement, prioritizing tax, senior debt, and mezzanine servicing.

4.2 The Unified Mezzanine Legal Documentation Suite

A mezzanine transaction in India requires six master legal agreements:
1. Debenture Trust Deed (DTD) / Facility Agreement: The primary master agreement between borrower, debenture trustee, and lenders detailing terms, covenants, representations, and events of default.
2. Debenture / Securities Subscription Agreement (SSA): Agreement governing the subscription, allotment, and pricing of NCDs, CCDs, or warrants.
3. Shareholders' Agreement (SHA) / Investor Rights Agreement: Grants mezzanine investors board representation, veto rights over major capital changes, informational rights, and exit drag-along/tag-along clauses.
4. Intercreditor Agreement (ICA) & Subordination Deed: Regulates voting thresholds, standstill periods, and cash flow priority between senior bank lenders and mezzanine funds.
5. Deed of Hypothecation & Mortgage Deed: Creates legal charges over movable and immovable property.
6. Share Pledge Agreement & Non-Disposal Undertaking (NDU): Enforces pledge creation over demat shares.

4.3 Statutory Perfection & Registrations under Indian Law

To ensure legal enforceability against liquidators and third parties under the Companies Act 2013 and IBC 2016, security creation must follow strict statutory perfection timelines:

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• ROC Charge Registration (Form CHG-1): Filed with the Registrar of Companies within 30 days of charge creation.
• CERSAI Registration: Mandatory online registration with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India within 30 days.
• Information Utility (IU) Filing: Financial debt and security details uploaded to NeSL (National E-Governance Services Ltd) under IBBI regulations to ensure conclusive proof of default in NCLT proceedings.

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CHAPTER 5: Indicative Tenure, Pricing, Call Protection & Exits

5.1 Tenure Profiles & Amortization Structures

Mezzanine facilities in India are medium-to-long term debt instruments with typical tenures ranging from **3 Years (36 Months) to 7 Years (84 Months). The repayment schedule is structured around the borrower's projected cash flow trajectory using one of three profiles:**

• Bullet Repayment: 100% of the principal is repaid as a single lump sum at final maturity. Ideal for growth-stage companies or real estate projects where cash flows materialize upon completion.
• Ballooning Amortization: Low principal amortization in early years (e.g., 10% in Year 3, 20% in Year 4) followed by a final 'balloon' payment (70% in Year 5).
• Cash-Flow Sweep: Standard quarterly servicing with an agreement that a percentage of excess free cash flow (e.g., 50% of surplus cash) is swept to prepay mezzanine debt.

5.2 Call Protection, Lock-In Periods & Prepayment Premiums

Because mezzanine lenders underwrite transactions targeting high IRRs over multi-year horizons, early prepayment by the borrower risks yield dilution. Lenders protect their return profile using three standard covenants:

1. Hard Lock-In Period: Absolute prohibition on prepayment during the initial 12 to 24 months of disbursement.
2. Prepayment Premium / Penalty: Percentage-based fee charged on the prepaid principal amount if prepaid after the lock-in period (e.g., 3.00% fee in Year 2, 2.00% in Year 3, 1.00% in Year 4).
3. Make-Whole Clause: Contractual covenant stipulating that if the borrower prepays prior to a designated date, it must pay the lender the total interest/yield the lender would have earned had the loan remained outstanding through the minimum target period.

5.3 Primary Exit Mechanisms for Mezzanine Investors

Mezzanine funds structure clear, contractually enforceable exit mechanisms prior to capital disbursement:
• Refinancing via Senior Bank Debt: As the company grows EBITDA and improves credit ratings, it refinances expensive mezzanine debt with cheaper senior bank loans.
• Promoter Buyback / Redemption: Promoter utilizes internal accruals or personal funds to redeem mezzanine NCDs/CCDs at the contractual target YTM/IRR.
• Secondary Sale / Private Credit Refinancing: Mezzanine facility is taken out by a larger international credit fund or infrastructure debt fund.
• IPO / Equity Listing Trigger: Equity warrants or CCPS/CCDs are converted into equity shares and monetized during an initial public offering on NSE/BSE.

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CHAPTER 6: Sectoral Applicability & Business Profiles

6.1 Sector-Wise Demand Drivers for Mezzanine Capital in India

Mezzanine financing is particularly well-suited for capital-intensive industries, asset-heavy growth businesses, and special corporate situations where traditional bank debt is restricted by regulatory caps or collateral shortfalls:

1. Real Estate Development & Urban Infrastructure:
   • Use Case: Land acquisition, municipal approval funding, construction debt top-up, and promoter equity substitution.
   • Rationale: RBI restricts commercial banks from funding land purchases directly. Mezzanine NCDs provided by Category II AIFs fill this gap, secured by mortgage over project land and cash flow escrows.

2. Renewable Energy, EV Infrastructure & Clean Tech:
   • Use Case: Early-stage project development, bridge-to-commissioning funding, and platform-level expansion.
   • Rationale: Provides fast-track capital before long-term institutional power purchase agreements (PPAs) attract low-cost senior bank debt.

3. Mid-Market Manufacturing, Industrial & Logistics:
   • Use Case: Capacity expansion, warehouse acquisition, technology upgrades, and working capital top-up.
   • Rationale: Mid-market companies with EBITDA between INR 15 Cr and INR 50 Cr often exhaust senior bank exposure limits; mezzanine capital provides the necessary growth bridge.

4. Leveraged Buyouts (LBOs), M&A & Promoter Equity Buybacks:
   • Use Case: Funding strategic acquisitions, buying out minority PE investors, or consolidation of promoter shareholding.
   • Rationale: Allows acquirers to fund acquisitions without surrendering majority equity control.

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CHAPTER 7: Key Advantages & Structural Limitations

7.1 Comparative Analysis: Borrower & Lender Perspectives

Every financial instrument involves structural trade-offs. The table below summarizes the key strategic advantages and limitations of mezzanine financing:

Stakeholder	Key Advantages	Structural Limitations & Risks
Corporate Borrower	• Minimal Equity Dilution: Preserves promoter ownership. • Tax Deductibility: Interest/coupon is tax-deductible u/s 36(1)(iii). • Flexible Cash Servicing: Low current coupon + PIK accruals. • Expands Total Borrowing Capacity.	• High Overall Cost: Total IRR of 14% - 22% is significantly higher than bank debt. • Strict Covenants: Restrictive debt-equity and operational covenants. • Refinancing Risk at Maturity.
Mezzanine Lender / Private Credit Fund	• Superior Risk-Adjusted Yields: 14% - 22% gross IRR. • Contractual Debt Protection: Superior priority over common equity under IBC Section 53. • Equity Upside: Warrant kickers provide outperformance potential.	• Subordination Risk: Junior priority behind senior bank debt in liquidation. • Illiquidity: Private credit instruments are less liquid than listed bonds. • Loss Risk upon severe default.
Senior Bank Lenders	• Equity Cushion: Mezzanine capital acts as equity-like buffer below senior debt. • Enhances Project Viability.	• Intercreditor Conflicts: Potential enforcement friction if borrower defaults.

7.2 Liquidation Waterfall Ranking under Section 53 of IBC 2016

In the event of liquidation under the Insolvency and Bankruptcy Code 2016, mezzanine debt (if structured as secured NCDs with a second charge) ranks above unsecured operational creditors and shareholders in the Section 53 waterfall order:

1. CIRP Costs & Interim Finance Costs (1st Priority)
2. Workmen's Dues (24 Months) & First-Charge Secured Creditors who relinquish security (Pari-Passu)

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3. Wages & Unpaid Employees Dues (12 Months)
4. Second-Charge Secured Creditors / Subordinated Mezzanine NCD Holders
5. Unsecured Financial Creditors
6. Government Dues & Statutory Claims (2 Years)
7. Preference Shareholders (CCPS / OCPS)
8. Common Equity Shareholders (Residual)

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CHAPTER 8: Comprehensive Practical Case Study (INR)

8.1 Deal Background: Growth Capital & Warehouse Acquisition

To illustrate the real-world mechanics of mezzanine financing in India, let us evaluate a comprehensive structured finance transaction for **Aura TechLogistics Private Limited (ATL)**, a mid-market Grade-A warehousing and third-party logistics company based in Pune, Maharashtra.

• Transaction Objective: ATL requires **INR 150.00 Crores** to acquire a 500,000 sq. ft. operational logistics park in Chakan, Pune, and execute expansion capex.
• Financial Profile: Pre-deal Annual Revenue = INR 120.00 Crores; Pre-deal EBITDA = INR 28.00 Crores (23.3% margin); Existing Senior Debt = INR 20.00 Crores.
• Challenge: Senior commercial banks are willing to lend a maximum of INR 75.00 Crores (50% LTV). The promoters have INR 30.00 Crores in equity but face a **Capital Gap of INR 45.00 Crores. Diluting pure equity for INR 45 Cr would force the promoters to give up 30% company ownership at a distressed valuation. Instead, ATL mandates a Private Credit Fund to structure a Mezzanine Facility.**

8.2 Capital Structure & Facility Terms

Capital Tranche	Amount (INR Cr)	Share (%)	Pricing / Return	Security / Priority
Senior Bank Debt	75.00	50.0%	9.50% p.a. Cash Coupon	1st Mortgage on Warehouse
Mezzanine NCDs (Private Credit)	45.00	30.0%	11.0% Cash + 4.0% PIK + Warrants	2nd Charge + 51% Share Pledge
Promoter Equity	30.00	20.0%	Residual Equity Upside	Common Equity / Unsecured
Total Capital Stack	**150.00**	**100.0%**	**Blended WACC = 11.8% p.a.**	**Full Project Asset Base**

8.3 Mezzanine Structure & Cash Flow Modeling (Year 1 to Year 5)

• Facility Instrument: Subordinated Secured Non-Convertible Debentures (NCDs) issued under Private Credit AIF Category II.
• Tenure: 5 Years (60 Months) with a 2-Year Grace Period on Principal Amortization.
• Current Cash Coupon: 11.00% p.a. paid quarterly = INR 4.95 Crores annually in Year 1.
• Payment-In-Kind (PIK) Coupon: 4.00% p.a. compounding annually, accruing into principal.

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• Equity Warrants Kicker: Detachable warrants representing 5.0% equity stake in ATL exercisable at Year 5 upon IPO or Strategic Exit, structured to target a **Gross Target IRR of 18.50% p.a.**

Financial Metric (INR Cr)	Year 1	Year 2	Year 3	Year 4	Year 5
Projected EBITDA	45.00	54.00	64.80	75.00	88.00
Senior Bank Debt Servicing	14.12	14.12	14.12	14.12	14.12
Mezz Cash Coupon (11%)	4.95	4.95	4.95	4.95	4.95
Mezz PIK Accrual (4%)	1.80	1.87	1.95	2.03	2.11
Mezz Principal Repayment	0.00	0.00	10.00	15.00	20.00 + PIK
Net Cash Surplus to Equity	24.13	33.06	33.78	38.90	46.82

Case Study Outcome:

1. Promoter Win: By utilizing INR 45 Cr in Mezzanine NCDs instead of pure equity, the promoters retained 95% equity control (surrendering only 5% via warrants). Upon Year 5 exit at an Enterprise Value of INR 650 Cr, the promoters' 95% stake was worth INR 420 Cr (vs. INR 310 Cr if they had diluted 30% equity upfront).
2. Lender Win: The Mezzanine Fund received regular 11% cash coupon servicing, accumulated accrued PIK, and realized its 5% warrant value at Year 5, achieving a total Realized IRR of 18.85%, perfectly exceeding its target hurdle rate.

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CHAPTER 9: Regulatory & Tax Framework in India

9.1 Regulatory Landscape Governing Mezzanine Lenders

Mezzanine transactions in India operate under a multi-tiered regulatory framework administered by three primary statutory bodies:

1. Reserve Bank of India (RBI):

- **Governs commercial banks, Non-Banking Financial Companies (NBFCs), and External Commercial Borrowings (ECBs).**
- **RBI Master Directions prohibit commercial banks from funding promoter equity or unlisted acquisitions directly (except under the 2026 Liberalized Acquisition Finance Framework for listed corporates).**
- **NBFC-Upper Layer and Middle Layer entities are subject to concentration norms and single-borrower exposure caps (typically 20% to 25% of Tier-1 capital).**

2. Securities and Exchange Board of India (SEBI):

- **Governs Alternative Investment Funds (AIFs) under SEBI (AIF) Regulations, 2012. Category II AIFs (Private Credit Funds) are the primary vehicle for domestic mezzanine capital.**
- **Regulates Foreign Portfolio Investors (FPIs) investing in NCDs under the SEBI FPI Regulations 2019 and Voluntary Retention Route (VRR).**
- **Mandates standardized Debenture Trust Deeds (Model DTD) for listed NCD issuances.**

3. Ministry of Corporate Affairs (MCA) & Companies Act 2013:

- **Section 71 governs debenture issuances, requiring mandatory appointment of a SEBI-registered Debenture Trustee for public/private issues exceeding 50 subscribers.**
- **Section 185/186 regulates loans, guarantees, and security provided to group companies or interested directors.**

9.2 Income Tax Implications (IT Act 1961)

- Tax Deductibility for Borrower: Interest paid on mezzanine NCDs/loans is fully tax-deductible as business expenditure under Section 36(1)(iii) of the Income Tax Act 1961, effectively reducing the net post-tax cost of mezzanine debt by 25.17% (corporate tax rate).
- Tax Deduction at Source (TDS): Borrowers must deduct TDS under Section 193 (for listed NCD interest @ 10%) or Section 194A (for unlisted interest @ 10% for residents) or Section 195 (for non-residents as per applicable Double Taxation Avoidance Agreements - DTAA).
- Pass-Through Status for Category II AIFs: Category II AIFs enjoy statutory tax pass-through status under Section 115UB of the Income Tax Act. Income earned by the AIF (interest/redemption premium) is taxed directly in the hands of fund investors, avoiding double taxation.

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CHAPTER 10: Rookie Mastery Examination

This examination consists of 15 high-yield, scenario-based test questions designed to verify complete mastery of Mezzanine Financing concepts, structures, regulatory guidelines, and credit risk assessment.

Q1: What defines the structural position of Mezzanine Financing in a corporate capital stack?

Answer: Mezzanine financing sits between senior secured debt and common equity. It is subordinated in security and cash flow priority to senior bank loans but ranks senior to common and preferred equity in liquidation.

Q2: How does Payment-In-Kind (PIK) interest differ from a current cash coupon?

Answer: Current cash coupon is paid periodically (monthly/quarterly) in cash out of operating cash flows. PIK interest is not paid currently in cash; it accrues and compounds into the principal balance, payable as a bullet amount at maturity.

Q3: Which regulatory vehicle under SEBI is most commonly utilized in India to pool private credit for mezzanine lending?

Answer: Category II Alternative Investment Funds (AIFs) registered under SEBI (AIF) Regulations, 2012.

Q4: Explain the difference between Contractual Subordination and Structural Subordination.

Answer: Contractual Subordination is created via an Intercreditor Agreement (ICA) where mezzanine lenders legally agree to defer claims behind senior banks. Structural Subordination occurs when mezzanine lenders lend to a Holding Company (HoldCo) while senior banks lend to the Operating Company (OpCo).

Q5: Under Section 53 of the Insolvency and Bankruptcy Code (IBC) 2016, where do secured second-charge mezzanine debenture holders rank in the liquidation waterfall?

Answer: Secured mezzanine debenture holders holding a valid second charge rank below CIRP costs, workmen's dues, and first-charge secured creditors, but rank ABOVE unsecured financial creditors, statutory government dues, preference shareholders, and common equity.

Q6: What is an Equity Kicker / Detachable Warrant in a mezzanine transaction?

Answer: An equity kicker is a warrant or conversion right issued alongside mezzanine debt that grants the lender the right to acquire a small equity percentage in the borrower at a pre-agreed strike price, enhancing overall return (IRR).

Q7: Why do mezzanine lenders enforce 'Call Protection' clauses like Lock-In periods and Prepayment Penalties?

Answer: Call protection prevents the borrower from refinancing or prepaying the mezzanine facility early, protecting the lender's target Gross IRR and minimum investment yield against rate compression.

Q8: Under Indian Income Tax law, what is the primary tax advantage of structuring mezzanine capital as NCD debt rather than pure equity?

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Answer: Interest and coupon payments on mezzanine debt are tax-deductible expenses under Section 36(1)(iii) of the Income Tax Act 1961, reducing corporate tax liability, whereas dividend payments on equity are non-deductible distributions of profit.

Q9: What mandatory statutory forms must be filed with the Registrar of Companies (ROC) to register a security charge created for mezzanine NCDs?

Answer: Form CHG-1 must be filed with the ROC within 30 days of charge creation under Section 77 of the Companies Act 2013.

Q10: If an offshore foreign lender subscribes to Optionally Convertible Debentures (OCDs) in an Indian company, which RBI framework applies?

Answer: Under FEMA guidelines, optionally or partially convertible debentures subscribed by non-residents are treated as External Commercial Borrowings (ECBs) and must comply with the RBI ECB Master Directions.

Q11: What is the typical gross target IRR range sought by mezzanine private credit funds in India?

Answer: 14.00% to 22.00% Gross IRR (blending cash coupon, PIK, redemption premium, and equity kickers).

Q12: In a real estate project, why do developers utilize mezzanine NCDs for land acquisition rather than commercial bank term loans?

Answer: Commercial banks are restricted by RBI regulations from funding land acquisitions directly. Mezzanine NCDs provided by AIFs/NBFCs supply the necessary land acquisition capital.

Q13: What role does a SEBI-registered Debenture Trustee play in a mezzanine NCD transaction?

Answer: The Debenture Trustee holds security charges on behalf of debenture holders, monitors covenant compliance, enforces security upon default, and represents lenders in legal/NCLT proceedings.

Q14: Explain the Fixed Charge Coverage Ratio (FCCR) requirement in mezzanine underwriting.

Answer: FCCR measures a company's ability to service total fixed financial obligations: FCCR = (EBITDA - Capex - Tax) / (Senior Principal Amortization + Senior Cash Interest + Mezzanine Cash Interest). Underwriters require FCCR >= 1.35x.

Q15: What is a Standstill Period in an Intercreditor Agreement (ICA)?

Answer: A contractually agreed period (typically 90 to 180 days) during which the second-charge mezzanine lender agrees not to initiate enforcement action or NCLT insolvency proceedings following a default, allowing the senior bank time to restructure or cure the default.

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